Supreme Court, U.S.
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No. 95-1764

IN THE SUPREME COURT OF THE UNITED STATES

October Term, 1996

SARATOGA FISHING CO.,

Petitioner,

vs.

J.M. MARTINAC & CO.; MARCO SEATTLE, INC.,

Respondents.

ON WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE NINTH CIRCUIT

REPLY BRIEF FOR PETITIONER

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12 pp

TABLE OF CONTENTS

TABLE OF CONTENTS i

TABLE OF AUTHORITIES ii

I. RESPONDENTS INCORRECTLY ASSUME THAT THE EXISTENCE OF PRE-LOSS RISK ALLOCATION IS INCONSISTENT WITH THE APPLICATION OF ESTABLISHED TORT PRINCIPLES 1

II. THE FIFTH CIRCUIT'S DECISIONS IN BOTH *NICOR* AND *SHIPCO* SUPPORT SARATOGA'S POSITION 3

IV. RESPONDENTS' ATTEMPT TO RELITIGATE THE AWARD FOR SARATOGA'S LOST CATCH OF FISH IS BEYOND THE SCOPE OF THIS COURT'S GRANT OF REVIEW AND IN ANY EVENT IS MERITLESS 4

V. CONCLUSION 8

TABLE OF AUTHORITIES

Cases

Agristor Leasing v. Guggisberg,
617 F. Supp. 902 (D. Minn. 1985) 7

East River S.S. Corp. v. Transamerica Delaval Inc.,
476 U.S. 858 (1986) 1, 3, 6, 8

Employers Insurance of Wausau v. Suwaneee River Spa Lines, Inc.,
866 F.2d 752 (5th Cir. 1989) 6

Louis Dreyfus Corp. v. 27,946 Long Tons of Corn,
830 F.2d 1321 (5th Cir. 1987) 6

Nicor Supply Ships Associates v. General Motors,
876 F.2d 501 (5th Cir. 1989) 2, 3

Purvis v. Consolidated Energy Products Co.,
674 F.2d 216 (4th Cir. 1982) 7

Shipco 2295, Inc. v. Avondale Shipyards, Inc.,
825 F.2d 925 (5th Cir. 1987) 3, 4, 8

Thofson v. Redex Industries,
433 N.W. 2d, 901 (Minn. App. 1988) 7

Statutes

Supreme Court Rule 24 (1)(a) 5

I. RESPONDENTS INCORRECTLY ASSUME THAT THE EXISTENCE OF PRE-LOSS RISK ALLOCATION IS INCONSISTENT WITH THE APPLICATION OF ESTABLISHED TORT PRINCIPLES

Although Respondents begrudgingly acknowledge the existence of a "basis for extending tort remedy into the realm of commercial contract," they deem it incomprehensible that fostering the goals of strict products liability can rise to the level of an "overriding public policy." *See* Respondents' Brief, p. 13.

Focusing solely on the existence of pre-loss risk allocation among those in the distributive chain, Respondents characterize the rule proposed by Saratoga as a giant step backward or, in other words, a retreat from the principles espoused in *East River S.S. Corp. v. Transamerica Delaval Inc.*, 476 U.S. 858 (1986).

Respondents' position reflects a basic misunderstanding of what this Court sought to accomplish in *East River* and in doing so suggests a false choice between pre-loss risk allocation and the application of established tort principles. *East River* sought harmony between contract and tort, not the elimination of tort law. Indeed, the regime envisioned by Respondents would all but nullify strict products liability as it has developed. Clearly, this Court never intended–through its affirmation of the economic loss rule–to arm manufacturers with an impenetrable shield against public accountability for the dangers present when their defective products enter the marketplace and destroy property never sold or warranted

by those same manufacturers.

Respondents' pitch for exclusive reliance upon contractual risk allocation begs the sole question raised by this case: Should the fortuity of an intermediate sale allow manufacturers of unreasonably dangerous products to escape tort liability for damages caused by their products to property they never sold or warranted? The mere existence of pre-loss contractual risk allocation to which the Respondents were not a party does not provide a basis for such an unjustified windfall.

Saratoga does not seek an *ex post facto* transfer of purely contractual losses into the realm of tort as Respondents suggest. The rule of *Nicor Supply Ships Associates v. General Motors*, 876 F.2d 501 (5th Cir. 1989) is workable and straightforward. The economic loss limitation applies to products sold and warranted by the original manufacturer, and therefore governed by contract. Those products never sold or warranted by the manufacturer, however, were never part of "the product" and therefore are "other property" and recoverable in tort.[1/]

[1/] Respondents profess fear that American industry will somehow crumble if the Ninth Circuit's vast expansion of the economic loss rule is not given effect. They claim deep concern for a hypothetical manufacturer of an add-on part which "could have been original equipment" and which destroys a vessel because of a design defect. Respondents' Brief ¶ 14-15. Suffice to say that 1) the district court and the Ninth Circuit's original and final opinions each denied recovery for any replacement parts (*Appx. 36a*); and 2) granting tort immunity to manufacturers of unreasonably dangerous products for damage to property they never sold or warranted derogates from the most basic principles of product liability.

II. THE FIFTH CIRCUIT'S DECISIONS IN BOTH *NICOR* AND *SHIPCO* SUPPORT SARATOGA'S POSITION

Respondents contend that both *East River* and *Shipco 2295, Inc. v. Avondale Shipyards, Inc.*, 825 F.2d 925 (5th Cir. 1987) support the Ninth Circuit's decision precluding recovery for damage to equipment added to the vessel following the first sale of M/V Saratoga as well as the tuna catch destroyed in the fire. Respondents are wrong.

Respondents fail to acknowledge in any way the Fifth Circuit's more recent decision in *Nicor*. In fact, the only mention of *Nicor* is in a footnote wherein the decision is cited for a proposition which it does not support. In *Nicor* the court allowed the plaintiff to recover for damage to its "other property" in tort although at the center of the controversy was a "commercial" transaction.

Rather than citing to and/or attempting to distinguish *Nicor* or otherwise explain away its significance, Respondents choose to ignore it, discussing instead at length the *Shipco* decision which preceded *Nicor*. As discussed below, the facts of *Shipco* are readily distinguishable from the present case and support Saratoga's position.

Shipco stands for the proposition that a component part manufacturer may escape tort liability where its contribution to the product originally sold fails, damaging the other components. The *Shipco* court looked to the "object of the transaction" to define "the product" rather

than the individual component parts incorporated therein. Essentially, *Shipco* prevents an end run around the economic loss rule.

In *Shipco*, however, the transaction which the court examined was the original transaction between the end product manufacturer and the initial purchaser. *Shipco*, 825 F.2d at 928. The court's holding in *Shipco* in no way suggests that had additional equipment been added to the vessel–subsequent to the first sale–that such equipment would have been deemed part of the original bargain struck.

Unlike the situation in *Shipco*, the property for which Saratoga seeks to recover was not part of the steel hulled vessel transferred to Madruga. Because the property added by Madruga (and ultimately transferred to Saratoga) was unrelated to and independent of the original transaction with Respondents, the damage to same must be considered "other property" for which recovery in tort is allowed.

III. RESPONDENTS' ATTEMPT TO RELITIGATE THE AWARD FOR SARATOGA'S LOST CATCH OF FISH IS BEYOND THE SCOPE OF THIS COURT'S GRANT OF REVIEW AND IN ANY EVENT IS MERITLESS

Although Respondents' persistence on this issue is understandable, their attempt to reargue the award of damages for Saratoga's fish catch is beyond the scope of the Court's grant of review. As shall also be discussed,

below, (in an abundance of caution), their position is simply wrong.

At issue by this grant of review is the Ninth Circuit's reduction of Saratoga's damage award based on it's determination that "the product changed" due to the intermediate sale of the vessel. Both parties petitioned for certiorari based on the Final Opinion. Respondents' petition alone requested review of the award for the lost fish catch, and that petition is still "pending" and not at issue herein. The issue of the effect of intermediate sale is irrelevant to Respondents' liability for the fish catch, as that property was solely acquired by Saratoga after the vessel's purchase from Madruga. That issue involves no significant issue of maritime uniformity or federal law.

The content of briefs on the merits is governed by Supreme Court Rule 24 (1)(a), which does not permit a party to unilaterally "raise additional questions or change the substance of the questions already presented in those documents"[2] Respondents' attempt to relitigate an issue so clearly beyond the Court's grant of review violates Rule 24 and should not be considered.

Respondents' position is nevertheless meritless. The lost tuna catch is obviously property acquired solely by Saratoga which had enormous financial value, and which was the largest component of the district court's

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[2] The Court may at its option consider a "plain error not among the questions presented but evident from the record and otherwise within its jurisdiction to decide." Sup. Ct. R. 24 (1)(a). Respondents have not claimed, nor can they responsibly claim such error by the Ninth Circuit as to the fish catch.

damage award. Expert testimony was received on the subject from two competing experts, Lester and Peckham, each of whom assigned monetary value to the catch. *Appx., 178a-179a.* Despite that purity of record, Respondents attempt to rhetorically transmute that valuable property into "work in progress" with no economic value, or into a consequential loss unrecoverable as a mere contractual expectation.

Respondents are dramatically wrong, and no maritime case has ever supported their strained position. Their primary reliance here as in the court of appeals is on a footnote in *Louis Dreyfus Corp. v. 27,946 Long Tons of Corn*, 830 F.2d 1321, 1328 (5th Cir. 1987). Respondents incorrectly argue that case supports a claim that Saratoga's lost fish catch was a mere "commercial expectation." *Louis Dreyfus* involved a loss of cargo, which by definition is not the shipowner's property, but the property of another carried for a fee. The fee the shipowner hoped to get was indeed merely an expectation which had no value until the service he was providing was completed. In contrast, the tuna catch was Saratoga's valuable property. The *Dreyfus* court concluded that the *East River* decision had no application to the facts under consideration. *Dreyfus*, 830 F.2d at 1318 n.5. *Employers Insurance of Wausau v. Suwaneee River Spa Lines, Inc.* 866 F.2d 752 (5th Cir. 1989), also cited by Respondents, is inapplicable for the same reason.

Respondents also attempt to support their argument against the other property nature of the catch by reference to a handful of state law based agricultural product liability cases. All those cases are distinguishable as non-maritime, and have been selectively culled from the

myriad of conflicting and fact-driven state product liability decisions. The agricultural cases are also distinguishable because of the manner in which the damage occurred in those cases. As *Agristor Leasing v. Guggisberg*, 617 F. Supp. 902 (D. Minn. 1985), applying Minnesota law, explains:

> Where damage results from deterioration, internal breakage or failure to live up to expectation, recovery is allowed only on a contract or warranty theory. On the other hand, where the damage is sustained from hazardous conditions or a sudden calamitous occurrence, courts would allow recovery under a tort theory.

The *Agristor* court concluded that because the grain storage unit merely failed to perform as expected, no tort based claim was possible. In stark contrast, the destruction of M/V Saratoga cannot be termed anything less than a calamitous event. The other agricultural decisions relied upon by Respondents are inapplicable for the same reasons. *Thofson v. Redex Industries*, 433 N.W. 2d, 901 (Minn. App. 1988) (also applying Minnesota law, tort damages allowed only when damage is other than that which could ordinarily be contemplated by the parties); *Purvis v. Consolidated Energy Products Co.*, 674 F.2d 216, 233 (4th Cir. 1982) (plaintiff's evidence may have demonstrated, under South Carolina law, that the barns performed their intended task poorly, but it did not establish that they posed a safety hazard). These irrelevant state law cases were properly distinguished and

disregarded by both courts below, and have no bearing herein.

IV. CONCLUSION

Maritime products liability law prior to the Ninth Circuit's Final Opinion properly recognized the boundary between tort and contract principles elucidated by *East River*. Manufacturers are not subject to tort liability for the self-destruction of the product *they* placed into the stream of commerce. *Shipco* clarified and reinforced that boundary, defining that product as the integrated subject of the original bargain. The Ninth Circuit's Final Opinion has now disturbed the harmony envisioned by *East River*. Should the Ninth Circuit's Final Opinion be given effect, manufacturer liability for placing unreasonably dangerous products into the stream of commerce will depend upon the fortuity of an intermediate sale. Such a windfall has no relation to the original bargain between buyer and manufacturer and does not serve the goals of public safety and predictability which animate products liability law.

For these reasons, Saratoga respectfully requests that the Final Opinion of the Ninth Circuit be reversed, and that judgment for Saratoga's loss of the net, skiff, fuel and miscellaneous non-replacement property be restored.

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Respectfully submitted,

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